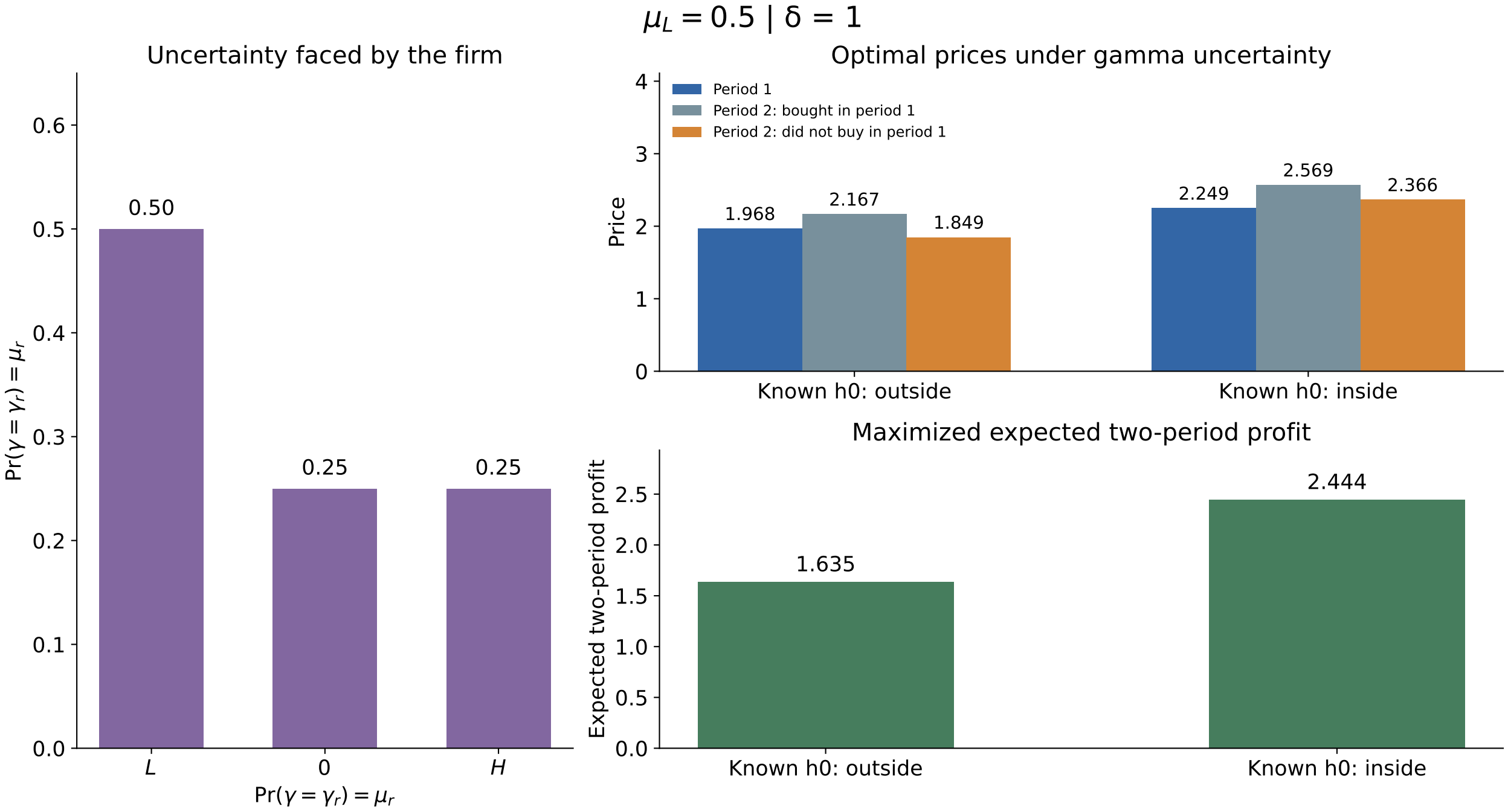
$\mu_L = 0.5 \mid \delta = 1$
Uncertainty faced by the firm
$\Pr(\gamma = \gamma_r) = \mu_r$
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.50
0.25
0.25
$L$
0
$H$
$\Pr(\gamma = \gamma_r) = \mu_r$
Optimal prices under gamma uncertainty
Period 1
Period 2: bought in period 1
Period 2: did not buy in period 1
Price
0
1
2
3
4
1.968
2.167
1.849
2.249
2.569
2.366
Known h0: outside
Known h0: inside
Maximized expected two-period profit
Expected two-period profit
0.0
0.5
1.0
1.5
2.0
2.5
1.635
2.444
Known h0: outside
Known h0: inside